

INVESTMENT STRATEGIES

A Practical Guide to How Professionals Invest

12 Strategies | 12 Day Trading Patterns | 5 Bond Approaches | 10,000 Simulations

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The Strategy Landscape

Value

Buy below intrinsic value

- ▶ Graham (1934)
- ▶ Buffett
- ▶ Lynch
- ▶ Greenblatt

Growth

Buy fast-growing earnings

- ▶ Fisher (1958)
- ▶ T. Rowe Price
- ▶ O'Neil (CAN SLIM)

Passive

Buy the whole market

- ▶ Bogle (1976)
- ▶ Fama (EMH)
- ▶ Malkiel

Income

Buy for cash flow

- ▶ Weiss (1966)
- ▶ Dividend Aristocrats

Momentum

Buy recent winners

- ▶ Driehaus (1980s)
- ▶ Jegadeesh/Titman

Contrarian

Buy what others fear

- ▶ Templeton (1954)
- ▶ Dreman

Quant

Buy with maths

- ▶ Markowitz (1952)
- ▶ Dalio (All Weather)

Technical

Buy on chart patterns

- ▶ Dow, Nison, Wilder
- ▶ Bollinger, Appel

Strategy Rankings — 20 Year Monte Carlo (10,000 paths)

#	Strategy	Creator	Net Return	Volatility	Sharpe	20Y Median
1	Value Investing	Graham (1934)	10.7%	16.0%	0.42	£286k
2	Growth Investing	Fisher (1958)	12.1%	20.0%	0.40	£319k
3	Magic Formula	Greenblatt (2005)	10.3%	17.0%	0.37	£264k
4	All Weather	Dalio (1996)	6.9%	8.0%	0.36	£188k
5	Dividend Investing	Weiss (1966)	8.2%	12.0%	0.35	£214k
6	Dogs of the Dow	O'Higgins (1991)	9.2%	15.5%	0.34	£232k
7	CAN SLIM	O'Neil (1988)	11.0%	21.0%	0.33	£266k
8	Index Investing	Bogle (1976)	8.9%	15.0%	0.33	£226k
9	Contrarian	Templeton (1954)	10.1%	19.0%	0.32	£248k
10	Momentum	Driehaus (1980s)	10.7%	22.0%	0.30	£246k
11	Bond Laddering	Traditional	4.3%	4.0%	0.07	£136k
12	Day Trading	Various	-3.0%	35.0%	-0.20	£39k

£10,000 initial + £300/month. Ranked by Sharpe Ratio (risk-adjusted return). Net = gross return minus costs.

Value Investing — The Proven Winner

Benjamin Graham (1934)

Margin of Safety + Mr. Market

"Price is what you pay. Value is what you get."

Sharpe: 0.42
Median: £286k
#1 risk-adjusted

Warren Buffett (1960s+)

Economic Moats + Quality at Fair Price

"Our favourite holding period is forever."

Evolved Graham's
approach into
quality investing

Peter Lynch (1977-90)

Invest in What You Know + Tenbaggers

"Know what you own, and know why you own it."

29.2% avg return
at Magellan Fund
(1977-1990)

Joel Greenblatt (2005)

Magic Formula (Earnings Yield + ROIC)

"The formula works. Most people cannot follow it."

Systematic value
Beginner-friendly
2-3 hrs/month

Growth Investing vs Passive Indexing

Growth Investing

Highest Absolute Returns

- ▶ Philip Fisher (1958): Scuttlebutt method, 15-point checklist
- ▶ T. Rowe Price: Father of growth investing, early-stage industries
- ▶ William O'Neil (1988): CAN SLIM system (7 factors)

Net Return: 12.1% | Volatility: 20% | Sharpe: 0.40

20Y Median: £319k (highest of all strategies)

Risk: 55% max drawdown, 3-5 year recoveries

Requires: intermediate to advanced skill, 10+ hrs/week

Best for: young investors with high risk tolerance

Passive Index Investing

Optimal for Most People

- ▶ John Bogle (1976): Created the first index fund at Vanguard
- ▶ Eugene Fama: EMH proves stock picking is futile on average
- ▶ Burton Malkiel: Random Walk, blindfolded monkey thesis

Net Return: 8.9% | Volatility: 15% | Sharpe: 0.33

20Y Median: £226k (beats 85% of professionals)

Risk: 50% max drawdown, but always recovers over 20+ years

Requires: NO skill, 0.5 hrs/week, costs 0.1-0.2%/year

Best for: everyone who does not want investing as a hobby

Technical Analysis — Day Trading Patterns

Pattern	Creator	Win Rate	Risk:Reward	Reliability
Head & Shoulders	Charles Dow	65%	1:1.5	High
Cup and Handle	William O'Neil (1988)	62%	1:1.8	High
Bollinger Squeeze	John Bollinger (1980s)	58%	1:1.6	Moderate
RSI Divergence	Wilder Jr. (1978)	55%	1:1.3	Moderate
MACD Crossover	Gerald Appel (1979)	52%	1:1.1	Low
Fibonacci Retrace	Fibonacci / traders	50%	1:1.5	Low

The Reality of Day Trading

- Overall day trading strategy: 82% probability of losing money over 20 years
- Median outcome: £39k from £82k invested. That is less than half your money back
- Individual patterns can show theoretical edge, but commissions, spread, and emotional errors erode it
- You need to be right 55-60% of the time AFTER costs just to break even
- The 'gurus' selling day trading courses make money from courses, not from trading
- Time spent day trading (40+ hrs/week) is better invested in career development or passive investing

Bond Strategies — The Stability Component

Ladder

Stagger maturities 1-10 years. Reinvest as each matures.

Yield: 4.2% | Risk: Low-Medium

Best for: Income investors, retirees

Barbell

70% short-term + 30% long-term. Nothing in between.

Yield: 4.2% | Risk: Medium

Best for: Rate uncertainty, active investors

Bullet

All bonds mature at same date (e.g. 5 years).

Yield: 4.3% | Risk: Low-Medium

Best for: Known future liabilities (uni fees, deposit)

Bonds are not exciting. But they keep you solvent when equities drop 50%. Every serious portfolio includes some bond allocation, especially as you approach retirement.

Momentum vs Contrarian — Opposite Philosophies

Momentum — Ride the Wave

- ▶ Richard Driehaus (1980s): "Buy high, sell higher"
- ▶ Academic proof: Jegadeesh & Titman (1993) confirmed the effect

Buy stocks making new highs with accelerating earnings
The trend is your friend... until it ends

Net Return: 10.7% | Sharpe: 0.30
20Y Median: £246k

Risk: momentum crashes are sudden and severe (-55%)
Requires constant monitoring (10-15 hrs/week)
The most emotionally demanding active strategy

Contrarian — Buy the Fear

- ▶ Sir John Templeton (1954): "Buy at maximum pessimism"
- ▶ David Dreman (1979): Systematic low P/E approach

Buy what everyone is selling. Sell what everyone is buying
Bull markets born on pessimism, die on euphoria

Net Return: 10.1% | Sharpe: 0.32
20Y Median: £248k

Risk: catching falling knives (some declines are permanent)
Requires deep analysis to separate fear from reality
Psychologically very difficult to do consistently

Quantitative and Systematic Approaches

Modern Portfolio Theory

Harry Markowitz (1952, Nobel 1990)

Diversification is the only free lunch. Combine assets that move differently to reduce risk without reducing return.

Created the Efficient Frontier concept

All Weather Portfolio

Ray Dalio (1996)

Equal risk across four economic states (rising/falling growth x rising/falling inflation). Works in all conditions.

Sharpe: 0.36 | Max DD: -20% | Median: £188k

Dollar Cost Averaging

Benjamin Graham (popularised)

Invest fixed amount at regular intervals regardless of price. Removes emotion, lowers average cost.

Most powerful when combined with any other strategy

The Bottom Line

Want best risk-adjusted returns?

Value Investing (Graham, Buffett)

Sharpe 0.42, proven 90+ years

Want highest absolute returns?

Growth Investing (Fisher, O'Neil)

£319k median but 55% max drawdown

Want zero effort?

Index Investing (Bogle)

Beats 85% of pros, costs 0.1%/yr

Want income and stability?

Dividend Investing (Weiss) + Bonds

Lowest volatility, steady cash flow

Want to day trade?

The data says don't.

82% lose money. The gurus sell courses, not returns.

The real money in investing is made quietly, slowly, and boringly. Over decades, not days.